

## THE ECONOMICS OF WAR SANCTIONS

# The Macroeconomic Consequences of International Financial Sanctions<sup>†</sup>

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The landscape of the international order is undergoing fundamental changes. Geopolitical tensions have risen to unprecedented levels following Russia's invasion of Ukraine, triggering much uncertainty about how it will shape international relationships going forward.

Against this backdrop, financial sanctions are becoming a powerful weapon of economic policy. The use of sanctions as economic policy is raising many important questions. First, will the US dollar retain its reserve currency status, or has the landscape of financial sanctions weakened the attractiveness of the dollar as a reserve currency? Second, which policies will countries deploy in response to international sanctions? Will (sanctioned) sovereigns default more often as a result? And, in turn, how does the possibility of default by sanctioned countries change the design of the optimal sanctions by the sanctioning countries? Third, how are capital flows going to be affected by the new international order? In particular, will the world undergo a geo-economic fragmentation by which an aligned block of countries increasingly lends and borrows from one another in isolation from other blocks?

These unprecedented policy challenges call for a model of international capital flows that accounts for the interaction between sanctioning and sanctioned countries. The interaction can go both ways. First, the sanctions imposed are clearly geared toward hurting the sanctioned

country. For example, a freezing of reserves or an expropriation of foreign assets can reduce the resources of the sanctioned country to finance a war. Second, the response of the sanctioned country may, in turn, hurt the sanctioning country, especially if the latter is a large player in the world economy. As a result, understanding the macro implications of financial sanctions and their optimal design must take into account these explicit interactions.

In this paper, we summarize our recent work that attempts to shed light on these questions (Bianchi and Sosa-Padilla 2022, 2023a, b).<sup>1</sup> For pedagogical reasons, we use a simple graphical approach.

### I. Reserve Currencies

In this section, we employ the framework in Bianchi and Sosa-Padilla (2023a) to articulate how the expectation of financial sanctions in the event of a conflict may weaken the reserve currency status of the US dollar. We sketch the main elements and refer the reader to the paper for more details.

The theoretical framework consists of a world with two countries. One country is the sanctioning country, which we take to be the United States. The other country, which we take to be China, faces potential sanctions in response to a departure from international law. The two countries trade a single good, a real asset, and a dollar bond ( $b$ ) issued by the sanctioning country.

The framework features an upward-sloping demand for dollar reserves from China, as illustrated in Figure 1. The idea is that dollar

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<sup>1</sup> The literature on international sanctions is an active one and also includes papers in this session by Sturm (2022); Lorenzoni and Werning (2022); Albrizio et al. (2022); and Itskhoki and Mukhin (2022).